

## (vii) Statement of Cash Flows:

| Particulars                                                                                                          | ₹ crore                        |                                |
|----------------------------------------------------------------------------------------------------------------------|--------------------------------|--------------------------------|
|                                                                                                                      | March 31,<br>2024<br>[Audited] | March 31,<br>2023<br>[Audited] |
| <b>A. Cash flow from operating activities:</b>                                                                       |                                |                                |
| Profit before tax (excluding exceptional items)                                                                      | 10868.32                       | 9832.70                        |
| Adjustments for:                                                                                                     |                                |                                |
| Dividend received                                                                                                    | (2655.67)                      | (1713.39)                      |
| Depreciation, amortisation, impairment and obsolescence                                                              | 1751.01                        | 1371.64                        |
| Exchange difference on items grouped under financing/investing activities                                            | (43.23)                        | (12.70)                        |
| Effect of exchange rate changes on cash and cash equivalents                                                         | (2.06)                         | 7.92                           |
| Finance costs                                                                                                        | 2405.83                        | 2125.23                        |
| Interest income                                                                                                      | (1648.20)                      | (1612.25)                      |
| (Profit)/loss on sale of Property, plant and equipment, Investment property and Intangible assets (net)              | (58.67)                        | (130.65)                       |
| (Profit)/loss on sale of investments (net) [including fair valuation]                                                | (284.78)                       | (160.17)                       |
| Reversal of provision with respect to loans given to subsidiary companies                                            | (70.24)                        | (891.86)                       |
| Loss on cancellation of equity shares on capital reduction by subsidiary                                             | -                              | 602.95                         |
| Employee stock option-discount forming part of employee benefits expense                                             | 91.25                          | 28.16                          |
| Other adjustments                                                                                                    | 0.42                           | -                              |
| <b>Operating profit before working capital changes</b>                                                               | <b>10353.88</b>                | <b>9447.58</b>                 |
| Adjustments for:                                                                                                     |                                |                                |
| (Increase)/decrease in trade and other receivables                                                                   | (5434.80)                      | (143.75)                       |
| (Increase)/decrease in inventories                                                                                   | (74.95)                        | (290.99)                       |
| Increase/(decrease) in trade and other payables                                                                      | 6078.46                        | 581.62                         |
| <b>Cash (used in)/generated from operations</b>                                                                      | <b>10922.69</b>                | <b>9594.46</b>                 |
| Direct taxes paid (net)                                                                                              | (2629.14)                      | (2330.50)                      |
| <b>Net cash (used in)/from operating activities</b>                                                                  | <b>8293.55</b>                 | <b>7263.96</b>                 |
| <b>B. Cash flow from investing activities:</b>                                                                       |                                |                                |
| Purchase of Property, plant and equipment, Investment property and Intangible assets                                 | (2918.46)                      | (2396.80)                      |
| Sale of Property, plant and equipment, Investment property and Intangible assets                                     | 94.55                          | 161.18                         |
| Investment in subsidiaries, associates and joint venture companies                                                   | (3719.68)                      | (1447.02)                      |
| Divestment of stake/capital reduction in subsidiary companies                                                        | 186.67                         | 522.95                         |
| Purchase of non-current investments                                                                                  | -                              | (84.17)                        |
| Sale of non-current investments                                                                                      | 34.23                          | 46.36                          |
| Net proceeds from transfer of business undertaking                                                                   | 800.00                         | 98.18                          |
| Net payments for transfer of discontinued operations (net of tax)                                                    | -                              | (113.19)                       |
| (Purchase)/sale of current investments (net)                                                                         | 4757.26                        | (2845.35)                      |
| Change in other bank balances and cash not available for immediate use                                               | (146.31)                       | (21.01)                        |
| Long term deposits/loans (given) - subsidiaries, associates, joint venture companies and third parties               | (110.21)                       | (296.10)                       |
| Long term deposits/loans repaid - subsidiaries, associates, joint venture companies and third parties                | 2499.27                        | 1573.03                        |
| Short term deposits/loans (given)/repaid (net) - subsidiaries, associates, joint venture companies and third parties | 192.71                         | 14.07                          |
| Interest received                                                                                                    | 2034.17                        | 1321.86                        |
| Dividend received from subsidiaries and joint venture companies                                                      | 2649.30                        | 1712.43                        |
| Dividend received from other investments                                                                             | 6.37                           | 0.97                           |
| <b>Net cash (used in)/from investing activities</b>                                                                  | <b>6361.89</b>                 | <b>(1752.71)</b>               |
| <b>C. Cash flow from financing activities:</b>                                                                       |                                |                                |
| Proceeds from fresh issue of share capital (including share application money) (net)                                 | 9.65                           | 10.31                          |
| Proceeds from non-current borrowings                                                                                 | 7450.00                        | 2450.00                        |
| Repayments of non-current borrowings                                                                                 | (4845.00)                      | (5549.00)                      |
| (Repayments)/proceeds from other borrowings (net)                                                                    | 1676.96                        | 1078.98                        |
| Settlement of derivative contracts related to borrowings                                                             | 49.65                          | 87.93                          |
| Interest paid on lease liability                                                                                     | (17.56)                        | (12.02)                        |
| Principal repayment on lease liability                                                                               | (98.70)                        | (95.18)                        |
| Dividends paid                                                                                                       | (4216.95)                      | (3091.42)                      |
| Buyback of equity shares                                                                                             | (10000.00)                     | -                              |
| Tax on buyback of equity shares                                                                                      | (2253.33)                      | -                              |
| Expenses for buyback of equity shares (net of tax)                                                                   | (26.55)                        | -                              |
| Interest paid (including cash flows from interest rate swaps)                                                        | (2250.23)                      | (2320.99)                      |
| <b>Net cash (used in)/from financing activities</b>                                                                  | <b>(14522.06)</b>              | <b>(7441.39)</b>               |
| <b>Net (decrease)/increase in cash and cash equivalents (A + B + C)</b>                                              | <b>133.38</b>                  | <b>(1930.14)</b>               |
| <b>Cash and cash equivalents at beginning of the year</b>                                                            | <b>3802.49</b>                 | <b>5718.23</b>                 |
| <b>Effect of exchange rate changes on cash and cash equivalents</b>                                                  | <b>3.34</b>                    | <b>14.41</b>                   |
| <b>Cash and cash equivalents classified as asset held for sale</b>                                                   | <b>-</b>                       | <b>(0.01)</b>                  |
| <b>Cash and cash equivalents at end of the year</b>                                                                  | <b>3939.21</b>                 | <b>3802.49</b>                 |

## Notes:

- Statement of Cash Flows has been prepared under the indirect method as set out in the Indian Accounting Standard (Ind AS) 7 "Statement of Cash Flows" as specified in the Companies (Indian Accounting Standards) Rules, 2015.
- Property, plant and equipment, Investment property and Intangible assets are adjusted for movement of (a) capital work-in-progress for Property, plant and equipment and Investment property and (b) Intangible assets under development during the year.

(viii) Figures for the previous periods have been regrouped/reclassified to conform to the classification of the current periods.

(ix) The above results have been reviewed by the Audit Committee and approved by the Board of Directors at its meeting held on May 8, 2024.

for LARSEN &amp; TOUBRO LIMITED



S. N. SUBRAHMANYAM  
Chairman & Managing Director

Mumbai  
May 8, 2024